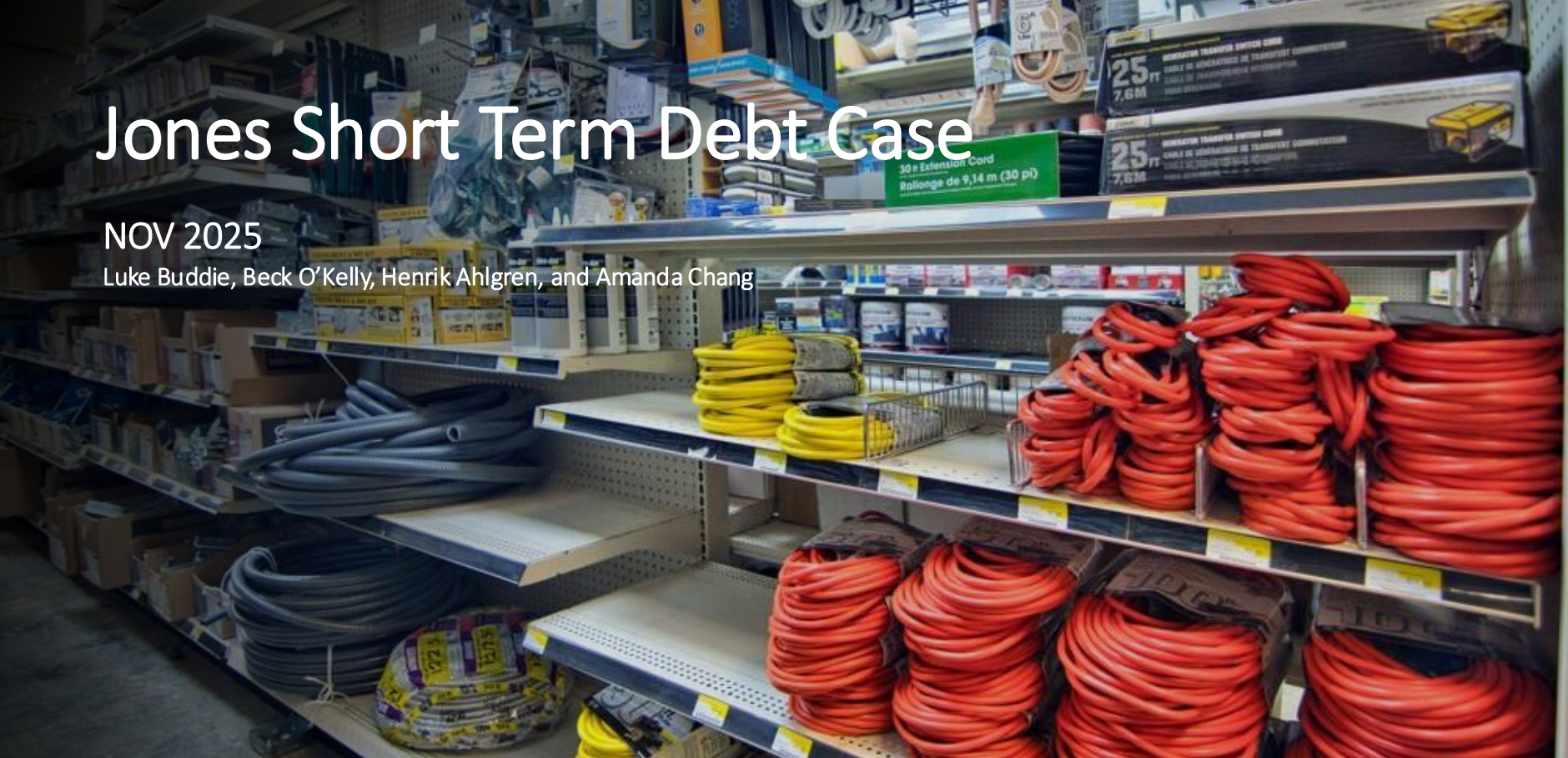


Jones Short Term Debt Case

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Luke Buddie, Beck O'Kelly, Henrik Ahlgren, and Amanda Chang



BerkeleyHaas

Jones Electrical Distribution

Loan Approval Form

Jones Electrical Distribution

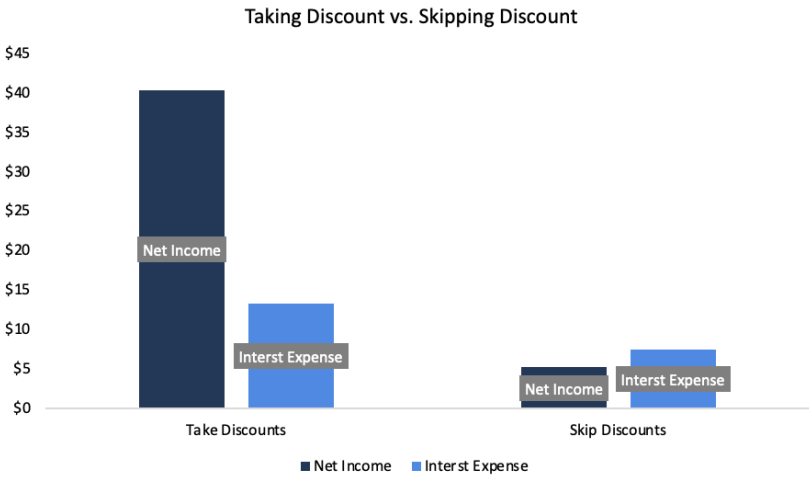
Loan Terms

- **Company Name:** Jones Electrical Distribution
- **Bank Name:** Southern Bank & Trust
- **Loan Type:** Secured Revolving Line of Credit
- **Amount:** \$350,000
- **Tenor/Term:** One year → allowing refinancing without needing to “rest” the line of credit, as long as the borrower meets the bank’s credit policy and covenants
- **Interest Payment Terms:** Seasonal payment structure (March–September) aligned with peak cash flow to reduce liquidity strain during the off-season

Side Note: Should Jones Take Discount?

Should Jones Take Discount?		
	Forecasted, FY Ending Dec 31 2007E	
	Take Discounts	Skip Discounts
Net Income	40	5
Revolving Credit Interest Expense	13	7
Cost of Skipping Discount:		35
Cost of Taking More Credit:	6	
Take discount and use more revolving credit:	\$35K > \$6K	

(cont.) Side Note: Should Jones Take Discount?



- \$35K lower net Income from skipping the discounts
- \$6K lower interest expense when skipping the discounts

Take discount and use more revolving credit: \$35K > \$6K

Business Description

Jones Electrical Distribution

Company Overview

- **Background and Ownership**
 - Founded in 1999 as a partnership; 100% owned and operated by Nelson Jones since 2003.
- **Products and Services**
 - Distributor of electrical components for construction and repair of commercial and residential buildings.
 - Key product categories include controllers, breakers, fuses, and signal devices.
 - Provides direct, on-site customer service through a commission-based salesforce.
- **Customer Base and Market Positioning**
 - Serves general contractors, electricians, and construction workers.
 - Operates in a large and fragmented market with high competition from national distributors, home centers, and small supply houses.
- **Suppliers and Inventory Management**
 - Sources products from ~100 suppliers, enabling diversification and supply redundancy.
 - Historically pays suppliers within 10 days to capture 2% discounts.
- **Financial Condition and Working Capital Dynamics**
 - Recurring cash shortages driven by WC growth.
 - Increasing reliance on trade credit and short-term financing.
 - Maximum lending at \$250,000 from Metropolitan.

SWOT Analysis

Strengths:

- **Rapid revenue growth** from \$1.6M in 2004 to \$2.2M in 2006
- Efficient cost structure: commission-based salesforce, low overhead costs, tight demand forecasting
- **Strong, trusted reputation** – suppliers, manufacturers, and customers speak highly of Jones
- Competitive advantage through priding competitiveness and aggressive salesforce in a fragmented market

Weaknesses:

- Seasonality creates **cash-flow volatility**
- Resorted to **expensive trade credit** when skipping discounts
- Maxed out bank loan at Metropolitan Bank
- No financial cushion – one underperforming season or slow customer payment could be detrimental
- Customer base is many small contractors which may signal **less dependability for timely repayment**

Opportunities:

- **Switch to Southern Bank and Trust** -> \$350K line of credit possibility -> higher growth
- **Take all 2% supplier discounts** with the new, cheaper bank money
- Strong reputation + larger credit line = ability to **bid on bigger contracts and gain market share**

Threats:

- **Construction market is cyclical** – a slowdown in residential/commercial building would decrease sales
- Macroeconomic trends: interest rates rising in 2007 (**higher borrowing costs**)
- Competitor pricing wars: **bigger companies fare better** with more cash on-hand.

Why Jones Needs a Loan

Jones Electrical Distribution

Rank	Driver	What's Happening	Evidence	A/R and Inventory
1	Existing \$250k line at Metropolitan is maxed out	Metropolitan cannot legally lend more, so Jones has no incremental liquidity.	Line of credit payable = exactly \$250K for 2006	A/R and inventory are climbing year-over-year, locking up cash and driving the need for additional working-capital financing.
2	Rapid sales growth is permanently increasing the need for working capital as actual size of the Cash Conversion Cycle increases	Sales growth adds permanent A/R + inventory that never goes away. Profits are generating nowhere near enough to self-fund growth.	Sales: \$1.62M (2004) → \$2.24M (2006) → \$2.7M expected in 2007; leading A/R + Inv to go from \$430K → \$509K → ~\$774K (see graph)	
3	Cash Conversion Cycle is long and getting longer	2006 CCC ≈ 95 days and rising → Jones finances 95+ days of operations with bank debt + trade credit. Growth makes this number worse, not better.	DIO ≈ 76 days, DSO ≈ 43 days, DPO only ≈ 24 days (because he's late)	
4	Missing 2% discounts → paying implicit 36-37% interest	To stay inside Metropolitan's \$250K limit, Nelson stretches suppliers to 30 day limit → A/P exploded from \$42K (2005) → \$203K (2006) → even higher in Q1 2007.	Skipping the 2% discount for 20 extra days = 36.7% APR	
5	Highly seasonal business	Inventory and A/R balloon in spring/summer, collapse in winter → needs large temporary funding that Metropolitan cannot provide.	First-quarter 2007 sales alone were \$608K (22.5% of the \$2.7M annual forecast), implying more sales are to come in the Spring and Summer (Q2 and Q3).	
6	Thin equity base + high leverage → harder to get long term loans approved	Almost all growth has been debt-funded → no equity buffer. Jones can't "slow down" or "use profits." The loan isn't a luxury; it's oxygen.	Debt-to-Capital was at 69.0% by end of 2006	

Why Loan is Recommended for Southern

Justification for Approving the Loan

- Suggested \$350K loan is 25% lower than the borrowing base → **bank can collect collateral** such as accounts receivable and inventory if the company **were to default on loan** (also see sensitivity table)
- Interest coverage ratio above 3.0x → demonstrates **strong capacity to pay interest** and meet debt obligations
- Debt to capital at 69.1% → still **not a distress signal** since strong **history of stable profits**; indicates the company is not over-leveraged while benefiting from **tax shield and capital efficiency**
- **Seasonal cash flow challenges** due to inventory build-up and delayed repayment → Mitigation: **Adjust loan structure** so interest payments align with seasonal peaks — reduces risk liquidity issues
- **Diversified accounts receivable** → customer base is **well-spread**, limiting concentration risk. Also holds both construction and maintenance customers, **reducing cyclical risk** (see advance rate and further justifications on next slide)
- **Inventory consists of commoditized finished goods** → **stores value** and can be readily **liquidated** to other distributors/retailers, as wiring & electrical products **do not become obsolete fast** and are easy to **keep track of inventory levels** (see advance rate and further justifications on next slide)

Revolver Model

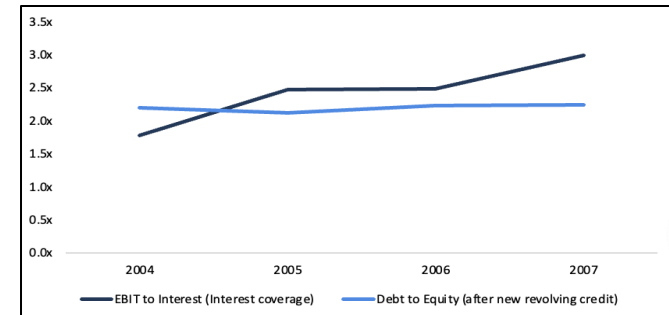
	Historical, FY Ending Dec 31			Forecasted, FY Ending Dec 31	
	2004	2005	2006	2007E	
				Take Discounts	Skip Discounts
Eligible A/R (65% advance rate)	122	150	172	207	207
Eligible Inventory (55% advance rate)	134	153	208	251	257
Borrowing Base	255	303	380	458	464

Jones Electrical Distribution

Financial Data

Key Ratios

Forecasted, FY Ending Dec 31	2007 (Take Discounts)
Net profit margin	1.5%
EBIT to Interest (Interest coverage)	3.0x
Interest rate (short-term)	7.5%
Debt to Equity (after new revolving credit)	2.2x
Debt to Capital	69.1%
Equity to Capital	30.9%
\$350K Loan % of Borrowing Base	75.3%
Cash conversion cycle (days)	109
Days Sales in A/R	43
Days COGS in Inventory	76
Days COGS in A/P	10



Suggested Covenants

Jones Electrical Distribution

Terms and Conditions

- **Borrowing Base**
 - Limited to **65% of eligible accounts receivable** and **55% of inventory** (only raw / finished, non-obsolete goods)
- **Restrictions on Additional Debt and Owner Withdrawals**
 - No new borrowing without lender approval
 - No dividends or owner distributions without lender approval
- **Monthly Reporting**
 - Provide **monthly unaudited financials**, A/R aging, inventory levels, A/P aging, and borrowing base / compliance certificates
- **Working Capital / Additional Requirements**
 - **Maintain A/R days** at or above historical levels
 - Minimum tangible **net worth** $\geq$ **prior year-end**
 - Capital expenditures limited to maintenance levels without approval

Borrowing Base Sensitivity

		Advance Rate Accounts Receivable				
		55%	60%	65%	70%	75%
Advance Rate Inventory	45%	380	396	412	428	444
	50%	403	419	435	451	467
	55%	426	442	458	474	489
	60%	449	465	481	496	512
	65%	472	487	503	519	535

Credit Utilization Limits

- **Advance Rate Set to 65% of Accounts Receivable**
 - Highly diversified customer base of small contractors signals **fragmentation** $\rightarrow$ **reducing concentration risk** but **limited visibility into customer quality and creditworthiness**
 - **Cyclical and seasonal demand among contractors and electricians** can lead to **delayed payments**, lower receivables liquidity, higher seasonal delinquency risk, and working capital pressures
 - Rapid sales and **A/R growth** increases **collection uncertainty**, as well as a **large number of small customers** raises the likelihood of **slower payments**
- **Advance Rate Set to 55% of Inventory**
 - Inventory consists of **standardized, electrical products** used in both construction and repairs, suggesting **broad resale markets storing value** of inventory
 - Contracts with **~100 suppliers** creates a diversified product mix, limited dependence on singular vendors $\rightarrow$ **broader buyer pool in a liquidation scenario**
 - Electrical products **do not become obsolete fast** $\rightarrow$ a wire is a wire
 - Fairly **easy to document and keep track of inventory** levels as a middle-man of electrical products
 - Jones has a demonstrated ability to **accurately forecast demand** and manage inventory more efficiently than competitors
 - Inventory **turnover at levels appropriate** for an electrical distributor $\rightarrow$ limits obsolescence risk and supports steady product movement